

1.5 COMPETITION AND DISCRIMINATION

Microeconomics by Topic
I. Basic Concepts

MARKING SCHEME

1986/AL/I/07 D	1990/AL/I/18 D	1994/AL/I/02 D	2005/AL/I/03 D (81%)	2012/AL/I/03 D (86%)
1987/AL/I/06 B	1992/AL/I/05 A	1995/AL/I/01 C	2007/AL/I/03 D (88%)	2025/DSE/I/24 A
1987/AL/I/10 C	1992/AL/I/09 C	2001/AL/I/06 D	2007/AL/I/25 C (62%)	
1987/AL/I/18 D	1993/AL/I/21 D	2004/AL/I/02 D (86%)	2009/AL/I/01 A (49%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/AL/I/3

A good is said to be scarce if, to an individual, more of it is preferred to less of it.

When more than one individuals in society want more of the same good, competition is implied.

With competition, some criterion is needed to determine who wins and who loses. For whatever criterion chosen, it will necessary be discriminatory in nature because different individuals will have different advantages in winning under the same criterion.

2012/DSE/II/5(a)

No, because

when there is excess demand / shortage, non-price competition, such as queuing, will emerge, and the new competitive criteria does not necessarily depend on income.

(1)

(3)